

rate remains the same and you pay back your loans over ten years, your monthly payment will be \$230. If you can add just \$50 a month to that amount and pay \$280 a month, you'll pay off your loans in seven years and eight months and save almost \$2,000 in interest. But remember, prepayment makes sense only if the interest rates on your loans are *higher* than the rates you can earn on an investment. (For an explanation of why this is so, see the box "If You Have Credit Card and Student Loan Debt" on chapter 3.)

- **Deduct your interest payments.** The government gives students a tax break: You may be able to deduct *interest* payments on your student loans, up to a maximum of \$2,500 a year. For example, if you're in the 25% tax bracket and you paid \$1,500 in interest this year on your student loans, you'll get to cut \$375 off your tax bill this year. You must fill out form 1098-E to get this. Money that goes toward repaying the *principal*, which is the total amount you borrowed, is not deductible. For more details, see Chapter 9.

Simplifying Repayment

If you feel overwhelmed by your student loans, here are three simple ideas that may help:

- **Find out where your loans are.** If you've lost track, you're not alone. If you're not sure where your paperwork is, either because you have changed addresses or your lender has given your loan to a loan servicer, or you're just at a loss, the National Student Loan Data System (www.nslds.ed.gov) can help you locate all federal loans.
- **Look into loan serialization.** If all your loans are with the same servicer, you may be able to simplify your monthly payments through **loan serialization**, which is a fancy way of saying that your lender will send you just one bill for all of the loans that they handle for you. Serialization (also